

2025 Federal & State Income Tax Return — DRAFT (Self-Prepared, Pending Review)

Marco A. & Renata M. Castellanos — Married filing jointly — Westminster, CO

Status: NOT reviewed by a tax professional. The figures below are preliminary and may contain errors.

Before filing, verify every entry against the source documents — the three Forms W-2 and the Granite Peak consolidated 1099. Pay particular attention to the treatment of investment income (interest, dividends, capital gains, foreign tax) and the qualified business income deduction.

Source documents used	For
W-2 — Mesa Verde Health System	Marco wages/withholding
W-2 — Front Range School District 12	Renata wages/withholding
W-2 — Cobalt Creek Outfitters	Diego (files separately)
Granite Peak consolidated 1099	interest, dividends, 1099-B, foreign tax

SAMPLE

Form 1040 — U.S. Individual Income Tax Return (2025) — DRAFT,

Page 1

Filing status: MFJ | SSN XXX-XX-4471 / XXX-XX-8852 | Dependent: Diego R. Castellanos (SSN XXX-XX-1330)

Line	Description	Amount
1a	Total wages (W-2 box 1)	\$133,640.00
2a	Tax-exempt interest	0.00
2b	Taxable interest (Schedule B)	\$4,400.00
3a	Qualified dividends	\$5,200.00
3b	Ordinary dividends (Schedule B)	\$6,400.00
7	Capital gain (Schedule D)	\$26,400.00
8	Additional income (Schedule 1)	0.00
9	Total income	\$170,840.00
10	Adjustments to income (Schedule 1, line 25)	\$300.00
11	Adjusted gross income (line 9 – line 10)	\$170,540.00
12	Standard deduction (MFJ)	\$31,500.00
13	Qualified business income deduction	0.00
14	Add lines 12 and 13	\$31,500.00
15	Taxable income (line 11 – line 14)	\$139,040.00

Interest, dividends and capital gains were entered from the 1099; see Schedules B and D.

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Form 1040 (2025) — DRAFT, Page 2: Tax, Credits, and Payments

Line	Description	Amount
16	Tax (from tax computation, this packet)	\$20,416.80
17	Schedule 2, line 3	0.00
18	Add lines 16 and 17	\$20,416.80
19	Credit for other dependents (Schedule 8812)	\$500.00
20	Schedule 3, line 8	0.00
21	Add lines 19 and 20	\$500.00
22	Subtract line 21 from line 18	\$19,916.80
23	Other taxes (Schedule 2, line 21)	0.00
24	TOTAL TAX	\$19,916.80
25a	Federal income tax withheld (W-2 box 2)	\$12,500.00
33	Total payments	\$12,500.00
37	Amount you owe (line 24 – line 33)	\$7,416.80
38	Estimated tax penalty (Form 2210)	see Form 2210

Sign Here

Signature	Occupation	Date
Marco A. Castellanos	Radiology IT Analyst	DRAFT
Renata M. Castellanos	Teacher (K-12)	DRAFT

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Schedule 1 (Form 1040) — Additional Income and Adjustments (2025)

Part II — Adjustments to Income

Line	Description	Amount
11	Educator expenses (Renata M. Castellanos, K-12 educator)	\$300.00
25	Total adjustments (to 1040 line 10)	\$300.00

An eligible K-12 educator may deduct up to \$300 (2025) of classroom expenses above the line, even with the standard deduction.

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Schedule B (Form 1040) — Interest and Ordinary Dividends (2025) —
DRAFT

Part I — Interest

Payer	Amount
Cherry Creek FCU — savings	\$700.00
Granite Peak Brokerage — cash sweep	\$1,400.00
Granite Peak — Muni Bond Fund	\$2,300.00
Line 2b — Total taxable interest (to 1040 line 2b)	\$4,400.00

Part II — Ordinary Dividends

Payer	Ordinary (1a)	Qualified (1b)	Foreign source
Granite Peak — Total Stock Mkt	\$2,300.00	\$2,100.00	\$0.00
Granite Peak — Dividend Growth	\$1,500.00	\$1,500.00	\$0.00
Granite Peak — International Idx	\$2,000.00	\$1,600.00	\$2,100.00
Granite Peak — REIT Index (199A)	\$600.00	\$0.00	\$0.00
Totals (to 1040 3b / 3a)	\$6,400.00	\$5,200.00	\$2,100.00

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Schedule D (Form 1040) — Capital Gains and Losses (2025) — DRAFT

Line	Description	Amount
1b-3	Short-term proceeds / basis (Form 8949 Part I)	5,200.00 / 6,000.00
7	Net short-term capital gain/(loss)	\$-800.00
8b-10	Long-term proceeds / basis (Form 8949 Part II)	54,000.00 / 30,000.00
13	Capital gain distributions (1099-DIV box 2a)	\$3,200.00
15	Net long-term capital gain/(loss)	\$27,200.00
16	Net capital gain/(loss) — to 1040 line 7	\$26,400.00

Short-term gain/loss taken as proceeds minus basis.

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Form 8949 — Sales and Other Dispositions of Capital Assets (2025)

— DRAFT

Part I — Short-Term

Description	Acq	Sold	Proceeds	Basis	Code	Adj	Gain/(loss)
GPB Tech ETF	02/03/2025	03/05/2025	5,200.00	6,000.00			-800.00

Part II — Long-Term

Description	Box	Acq	Sold	Proceeds	Basis	Gain/(loss)
GPB Growth ETF	D	03/14/2019	04/22/2025	38,000.00	18,000.00	20,000.00
GPB Intl Value Fd	E (noncovered)	06/01/2020	09/09/2025	16,000.00	12,000.00	4,000.00
Totals				54,000.00	30,000.00	24,000.00

GPB Intl Value Fd is a NONCOVERED lot (box E) — basis was not reported to the IRS and is taxpayer-supplied.

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Tax Computation (2025) — DRAFT

Tax was figured on total taxable income using the ordinary MFJ rate schedule.

Band	Rate	Taxed in band	Tax
\$0 – \$23,850	10%	\$23,850.00	\$2,385.00
\$23,850 – \$96,950	12%	\$73,100.00	\$8,772.00
\$96,950 – \$139,040.00	22%	\$42,090.00	\$9,259.80
		Total (to 1040 line 16)	\$20,416.80

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Form 8995 — Qualified Business Income Deduction (2025) — DRAFT

Line	Description	Amount
6	Qualified REIT dividends (1099-DIV box 5)	\$600.00
9	REIT/PTP component (20%)	\$120.00
10	QBI deduction before limitation	\$120.00
15	QBI deduction	\$120.00
—	Amount carried to Form 1040 line 13	0.00

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Schedule 2 (Form 1040) — Additional Taxes (2025)

Line	Description	Amount
12	Net investment income tax (Form 8960)	0.00
21	Total other taxes (to 1040 line 23)	0.00

Net investment income tax is \$0 because modified AGI is below the \$250,000.00 MFJ threshold.

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Schedule 3 (Form 1040) — Additional Credits and Payments (2025)
— DRAFT

Line	Description	Amount
1	Foreign tax credit	0.00
3	Education credits (Form 8863)	0.00
8	Total (to 1040 line 20)	0.00

No education credit for 2025 (first qualified expenses are in 2026 — see the planning worksheet).

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Schedule 8812 (Form 1040) — Credits for Qualifying Children and Other Dependents (2025)

Line	Description	Amount
6	Number of other dependents (Diego, age 18, student)	1
8	Credit for other dependents (1 × \$500)	\$500.00
14	Credit allowed (to 1040 line 19)	\$500.00

Diego is 18 at year-end — not a qualifying child for the Child Tax Credit, but eligible for the \$500 Credit for Other Dependents.

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Colorado Form 104 — Individual Income Tax Return (2025) — DRAFT

Line	Description	Amount
1	Federal taxable income (from Form 1040 line 15)	\$139,040.00
2	Additions	0.00
—	Subtractions	0.00
—	Colorado taxable income	\$139,040.00
—	Colorado tax (4.40% flat)	\$6,117.76
—	Colorado tax withheld (W-2 box 17, both spouses)	\$5,880.16
—	Colorado balance due	\$237.60

Colorado starts from federal taxable income.

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Form 2210 — Underpayment of Estimated Tax (2025) — DRAFT

Line	Description	Amount
1	Current-year total tax (1040 line 24)	\$19,916.80
4	90% of current-year tax	\$17,925.12
8	110% of prior-year (2024) tax of \$14,900.00	\$16,390.00
9	Required annual payment (smaller of line 4 or 8)	\$16,390.00
6	Withholding for the year	\$12,500.00
—	Underpayment (line 9 – withholding)	\$3,890.00

Withholding is below the required annual payment, so an underpayment penalty may apply. (These figures depend on the federal total tax above.)

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2026 Education-Credit & Estimated-Tax Planning Worksheet

American Opportunity Tax Credit (AOTC) — eligibility test

Item	Amount / rule
Projected 2026 MAGI	use your CORRECTED 2025 MAGI (recompute after fixing this draft)
AOTC phase-out range (MFJ)	\$160,000.00 – \$180,000.00
Phase-out factor formula	$(\$180,000.00 - \text{MAGI}) \div \$20,000.00$
Maximum AOTC before phase-out	\$2,500.00
Qualified expenses required from non-529 / non-scholarship funds	\$4,000.00
Allowable AOTC	complete after correcting the return

Coordination rule: expenses paid with tax-free 529 distributions or scholarships cannot also count toward the AOTC; pay at least \$4,000.00 of tuition from other funds, then reduce the credit by the phase-out factor (it is NOT automatically the \$2,500.00 maximum).

Estimated-tax / safe-harbor note

Investment income was not withheld on, so a balance is due. To avoid a penalty next year, pay through withholding/estimates at least the smaller of 90% of current-year tax or 110% of prior-year total tax (110% applies because AGI exceeds \$150,000).

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